

July 20, 2026 06:32 PM GMT

## US Rates Strategy | North America

## Option Menu | Trade Ideas for Your Rates View

Investors often have a directional view on rates, but face a trade off between accepting unwanted risks or paying for option outcomes they do not expect. We scan the USD rates vol surface to identify our preferred expressions for higher rates, lower rates, steeper curves, and flatter curves.

## Key Takeaways

- To balance unwanted risk and option cost, we identify preferred option expressions based on prevailing market drivers and volatility pricing.
- Higher rates: 3m30y payer spread. Attractive entry level with low ATM volatility and rich payer skew.
- Lower rates: 6m5y low strike receiver. Cheap receiver skew and sufficient time for macro data to challenge Fed hike pricing.
- Steepener: 3m 5s30s curve cap. Captures multiple steepening scenarios while limiting downside to the premium paid.
- Flattener: 1m 2s5s bear flattener. Targets a flatter curve only in a higher rate scenario with zero upfront premium.

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# Interest Rate Derivative Strategy

## United States | Trade ideas for your rates view

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Investors often have a clear directional view on rates but face a trade off between expressing that view with linear instruments, which introduces risks they do not intend, and buying vanilla options, which provide protection against scenarios they do not expect to realize.

We scan the USD rates option surface with expiries under one year to find the best value options for expressing four broad views: higher rates, lower rates, steeper curves, and flatter curves. These trades are not meant to fit every investor, but they offer a practical starting point for expressing directional views on USD rates.

## Higher Rates

Long-end Treasury yields continue to approach cycle highs but have repeatedly failed to break higher. At the same time, daily realized volatility has fallen close to multi year lows, leaving top-right implied volatility near the bottom of its recent range ([Exhibit 1](#)). Meanwhile, elevated payer skew reflects persistent demand for tail hedges amid inflation and geopolitical risks.

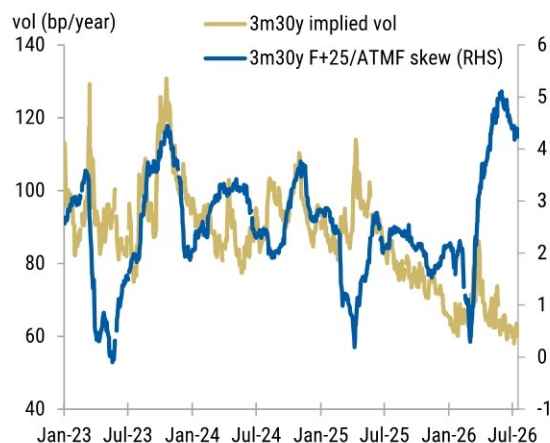
We recommend 3m30y F/F+25 payer spread as the preferred expression for investors seeking higher rate exposure:

- **Attractive valuation.** Low ATM volatility keeps entry cost low, while elevated high strike payer skew allows investors to monetize rich upside volatility through the spread structure.
- **Prefer 3m expiry.** The sub one year volatility surface is reasonably steep. While 1m expiry is cheaper, it captures too few macro catalysts. Longer expiries provide more event risk but become increasingly expensive. The late October expiry strikes a good balance, capturing three CPI releases, three payroll reports, and the September FOMC meeting, providing multiple opportunities for rates to reprice higher.

**Trade idea:** Buy equal notional 3m30y F/F+25 payer spread for 135c, equivalent to 8bp running. The structure offers a maximum payout of roughly 3x if the 30y swap rate

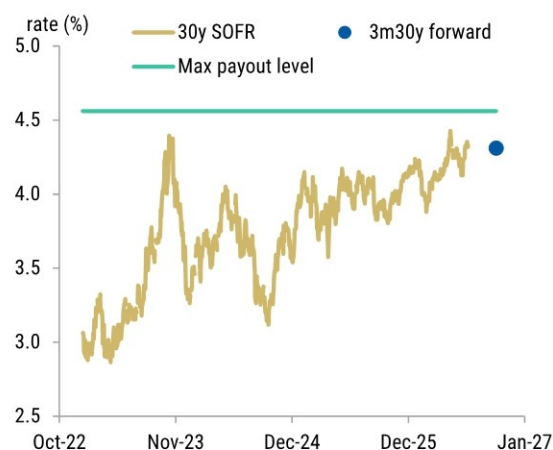
finishes above the high strike at expiry. Downside is limited to the premium paid. The main risk is that long-end yields fail to sell off over the next three months, for example, if softer inflation data alleviate concerns over long-term inflation.

**Exhibit 1:** 3m30y vol and skew



Source: Bloomberg, Morgan Stanley Research

**Exhibit 2:** 30y rate, 3m forward and max payout level



Source: Bloomberg, Morgan Stanley Research

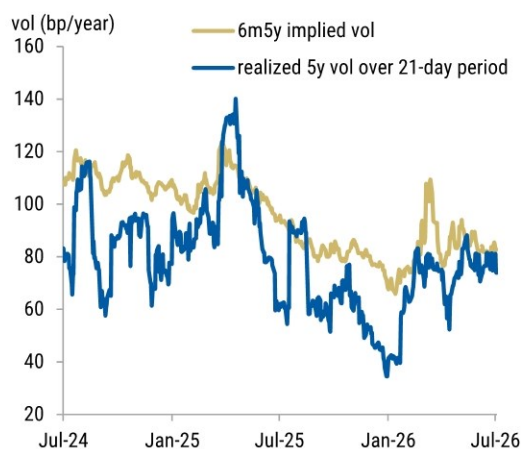
## Lower Rates

The front end of the curve is pricing 35bp of additional Fed hikes by the end of 2026. Barring an exogenous shock, a rally would most likely require incoming data to challenge that pricing through softer inflation, weaker labor market data, or both. We therefore prefer an option with sufficient time for the macro data to play out.

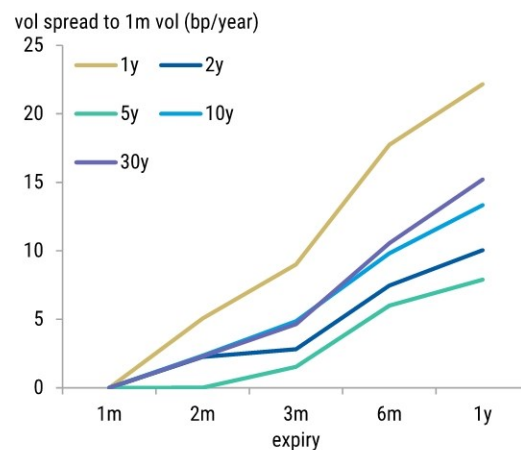
We recommend a 6m5y F-25 receiver as the preferred expression to position for lower rates:

- **Cheap implied volatility.** 6m5y implied volatility trades at only a 10bp/year premium to 21-day realized volatility ([Exhibit 3](#)), lower than both the 1y and 2y tails.
- **Limited term premium.** The 5y volatility surface is the flattest among liquid tails ([Exhibit 4](#)), allowing investors to extend into six month expiry at relatively little additional cost.
- **Attractive receiver skew.** Low strike volatility trades slightly below ATM volatility, close to the cheapest level since March 2023.

**Trade idea:** Buy a 6m5y F-25 receiver for 60c, equivalent to 13bp running. Downside is limited to the premium paid. The main risk is that incoming data remain resilient enough for the Fed to deliver one or more additional hikes over the next six months.

**Exhibit 3:** 6m5y vol and 21-day realized

Source: Bloomberg, Morgan Stanley Research

**Exhibit 4:** Vol premium relative to 1m expiry implied up to 1y expiry

Source: Bloomberg, Morgan Stanley Research

## Steeper Curve

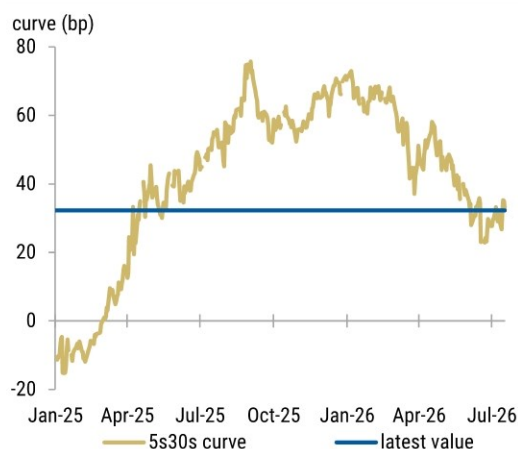
Following our preferred expressions for higher and lower rates, it should come as no surprise that our favorite curve steepener is 5s30s. In a recent [note](#), we highlighted UST 7s30s steepener as having the best vol-adjusted carry and roll.

We recommend a 3m ATM 5s30s curve cap as the preferred option expression for a steeper curve:

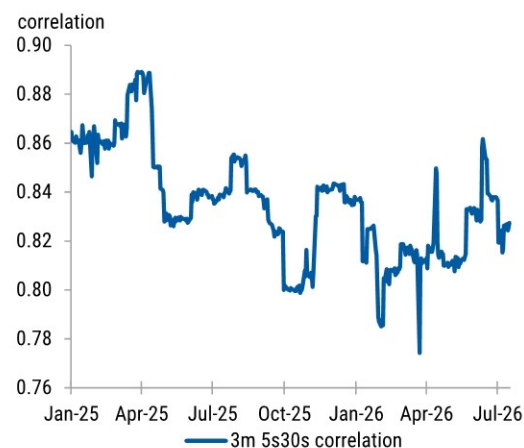
- **Constructive macro backdrop.** The 5s30s curve has historically steepened during Fed cutting cycles. Spot 5s30s has retraced all of the steepening since April 2025 ([Exhibit 5](#)), despite the Fed having cut 75bp since then.
- **Balanced exposure.** A curve cap provides asymmetric exposure to multiple steepening scenarios. The structure benefits from both front end repricing on Fed easing and a potential breakout in the long end. Correlation savings are close to historical median levels rather than an extreme, but we believe the balanced payoff profile more than offsets the average valuation.

**Trade idea:** Buy a 3m ATM 5s30s curve cap for 12c. Downside is limited to the premium paid. The main risk is a curve flattening over the next three months, for example if the Fed delivers additional hikes and signals a renewed hiking cycle.



**Exhibit 5:** 5s30s curve and latest value

Source: Bloomberg, Morgan Stanley Research

**Exhibit 6:** 3m 5s30s curve option implied curve correlation

Source: Bloomberg, Morgan Stanley Research

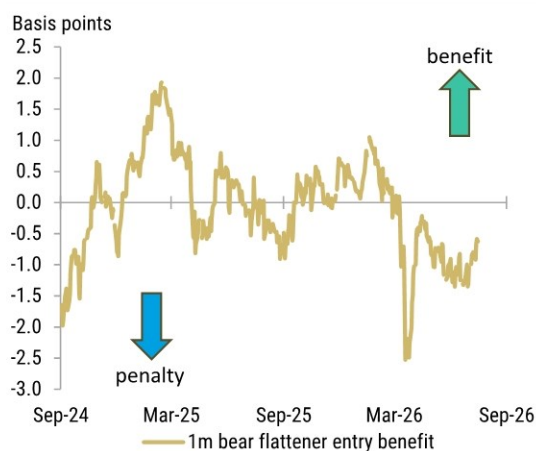
## Flatter Curve

The front end of the curve is likely to be driven by developments in Iran over the coming month. The transmission mechanism is straightforward: disruption to energy supply pushes commodity prices higher. This lifts inflation and inflation expectations, increasing the risk of a more hawkish Fed response and a bear flattening of the 2s5s curve.

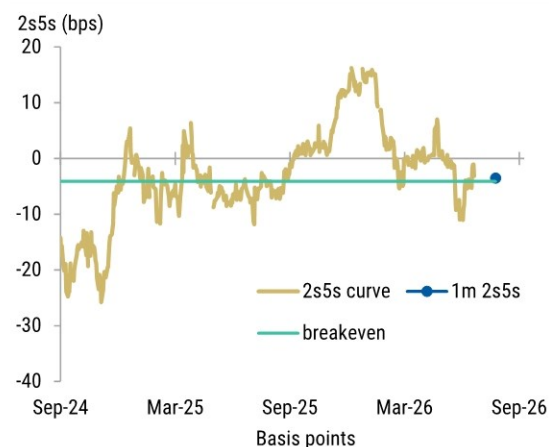
We recommend a zero cost 2s5s bear flattener as the preferred expression for a flattening curve:

- **Prefer 1 month expiry.** The calendar is light until the end of July, with no first tier data releases or meaningful Fed communication before the July FOMC meeting. As a result, developments in Iran are likely to be the dominant market catalyst for most of the 1-month period.
- **High uncertainty.** The bear flattener provides targeted exposure to a hawkish repricing driven by higher inflation expectations while limiting exposure to other rate scenarios. If geopolitical tensions ease, inflation risk should fade and the curve would likely bull steepen, allowing the structure to expire worthless. In that scenario, investors avoid paying upfront premium for an outcome they do not expect.
- **Reasonable vol premium.** A bear flattener typically carries a volatility premium. That premium is currently near the cheapest level since March, making the structure an attractive way to hedge geopolitical risks.

**Trade idea:** Buy 2.36x ATM+1bp 1m2y payer and sell 1x ATM 1m5y payer to achieve zero upfront premium. Downside is unlimited. The main risk is that the Fed delivers a hike at the July meeting while signaling a more hawkish policy path. In that scenario, the curve would likely bear steepen, causing the trade to underperform.

**Exhibit 7:** Vol benefit of 1m 2s5s bear flattener

Source: Bloomberg, Morgan Stanley Research

**Exhibit 8:** 2s5s and breakeven level

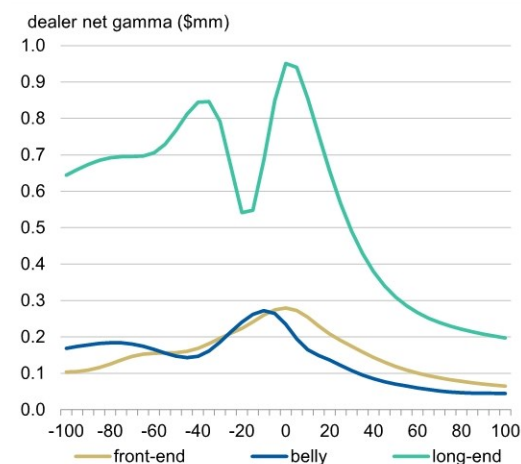
Source: Bloomberg, Morgan Stanley Research

- **Trade idea: Maintain long 2y10y straddle outright**
- **Trade idea: Maintain long 1y1y F/F+25/F+50 payer ladder**
- **Trade ideas:**
  - **Higher rates: Enter buy 3m30y F/F+25 payer spread**
  - **Lower rates: Enter buy 6m5y F-25 receiver**
  - **Steeper: Enter 3m 5s30s ATM curve cap**
  - **Flattener: Enter buy 2.36x 1m2y F+1 payer, sell 1x 1m5y ATM payer**

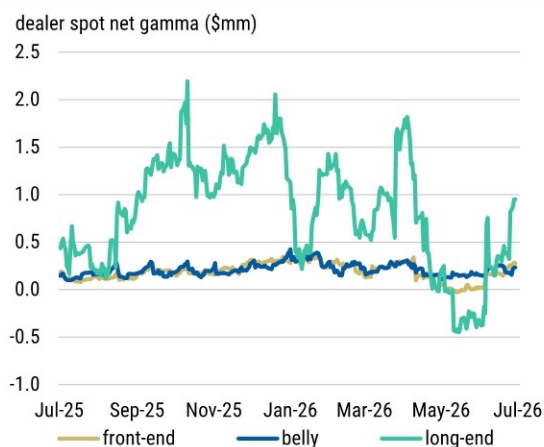
## SDR Monitor

Investors have resumed selling volatility. In aggregate, dealers now hold roughly 50% of the maximum long gamma position observed over the past year.

The long-end gamma profile exhibits two distinct peaks: one around current rate levels and another roughly 50bp lower. This suggests investors are comfortable selling gamma in a contained rally, but reluctant to be short gamma in any sell off.

**Exhibit 9:** Dealer net gamma exposure

Source: DTCC, Morgan Stanley Research

**Exhibit 10:** Historical spot dealer net gamma

Source: DTCC, Morgan Stanley Research

**Exhibit 11:** Net customer flow in gamma (\$k)

| exp\tail | 1Y  | 2Y  | 3Y  | 5Y   | 10Y   | 15Y | 20Y  | 30Y  |
|----------|-----|-----|-----|------|-------|-----|------|------|
| 1M       | 1   | (2) | (1) | (40) | (124) | (6) | (18) | (49) |
| 2M       | 5   | (3) | 0   | (5)  | 1     | 0   | 0    | 3    |
| 3M       | (3) | 6   | 2   | (3)  | 21    | 14  | 0    | (67) |
| 6M       | (1) | (0) | 0   | 4    | (11)  | 0   | (2)  | (1)  |
| 9M       | 2   | 0   | 0   | 5    | 0     | 0   | (0)  | 4    |
| 1Y       | (1) | 1   | (0) | 0    | 10    | 0   | 0    | 39   |
| 18M      | 2   | (1) | (0) | 0    | 0     | 0   | 0    | 0    |
| 2Y       | (2) | (0) | (0) | 0    | (4)   | 0   | 0    | (0)  |
| 3Y       | (0) | 0   | (1) | (1)  | 0     | 0   | (0)  | 0    |
| 5Y       | (0) | 0   | 0   | (1)  | (1)   | 0   | (0)  | (7)  |
| 10Y      | 0   | 0   | 0   | (1)  | (1)   | 0   | (1)  | 0    |
| 15Y      | 0   | 0   | 0   | (0)  | (0)   | 0   | 0    | 0    |
| 20Y      | 0   | 0   | 0   | 0    | (1)   | 0   | 0    | 0    |

Source: DTCC, Morgan Stanley Research

**Exhibit 12:** Net customer flow in vega (\$k)

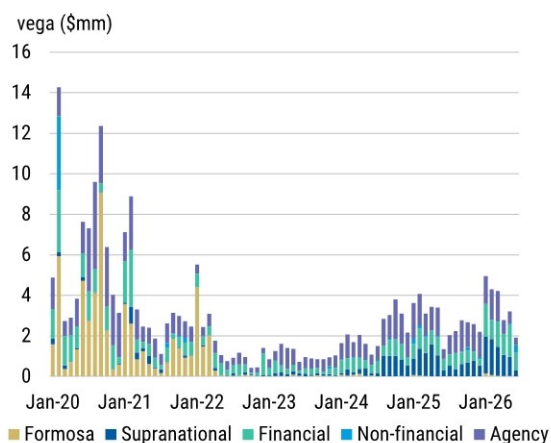
| exp\tail | 1Y    | 2Y   | 3Y    | 5Y    | 10Y   | 15Y  | 20Y   | 30Y     |
|----------|-------|------|-------|-------|-------|------|-------|---------|
| 1M       | 4     | (19) | (5)   | (310) | (689) | (32) | (91)  | (253)   |
| 2M       | 69    | (37) | 0     | (54)  | 16    | 0    | 0     | 33      |
| 3M       | (59)  | 120  | 41    | (57)  | 360   | 236  | 0     | (1,053) |
| 6M       | (68)  | (19) | 0     | 163   | (468) | 0    | (56)  | (37)    |
| 9M       | 107   | 14   | 0     | 338   | 19    | 0    | (26)  | 267     |
| 1Y       | (51)  | 90   | (2)   | 22    | 819   | 0    | 0     | 2,828   |
| 18M      | 334   | (98) | (5)   | 51    | 34    | 0    | 0     | 33      |
| 2Y       | (341) | (53) | (40)  | 1     | (537) | 64   | 0     | (52)    |
| 3Y       | (70)  | 2    | (146) | (220) | 213   | 0    | (47)  | 110     |
| 5Y       | (51)  | 0    | 0     | (271) | (283) | 0    | (176) | (2,555) |
| 10Y      | 88    | 0    | 0     | (632) | (579) | 0    | (848) | 0       |
| 15Y      | 0     | 0    | 0     | (51)  | (344) | 18   | 82    | 0       |
| 20Y      | 0     | 0    | 0     | 0     | (775) | 0    | 0     | 0       |

Source: DTCC, Morgan Stanley Research

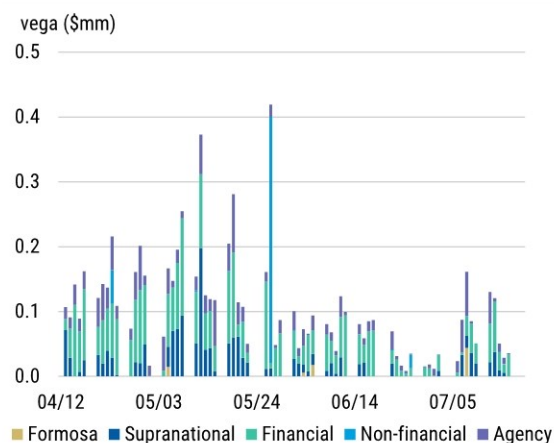
## Callable Issuance Monitor

Consistent with seasonal patterns, callable issuance has rebounded from the lows observed in June.

However, supranational issuance remains largely absent. We believe this reflects the well funded position of several supranational issuers and provides structural support for the 2y10y sector of the volatility surface.

**Exhibit 13:** Vega supply from callable issuance

Source: Bloomberg, Morgan Stanley Research

**Exhibit 14:** Recent vega supply by pricing date

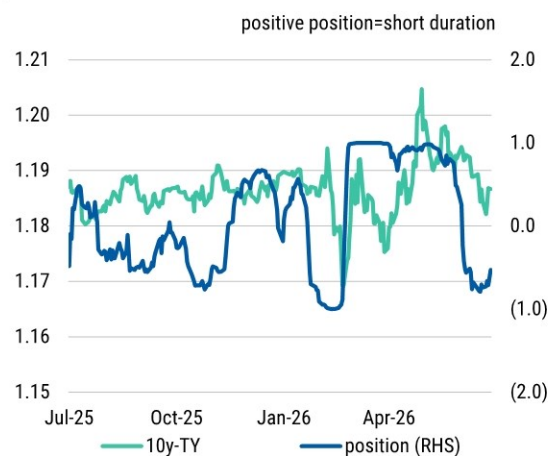
Source: Bloomberg, Morgan Stanley Research

## Skew Signal Monitor

The 3m10y OTC skew signal remains long duration. The recommended position is currently around 50% of the model's maximum long exposure.

**Exhibit 15:** Skew change and duration position

Source: Bloomberg, S&amp;P, Morgan Stanley Research

**Exhibit 16:** Duration position and signal performance

Source: Bloomberg, S&amp;P, Morgan Stanley Research



# Valuation Methodology and Risks

Below you will find a list of our current trade ideas, entry levels, entry dates, rationales, and risks.

| Interest Rate Derivatives                          |             |            |                                                                                                                                                                                         |                                                                                                                                                                                                         |
|----------------------------------------------------|-------------|------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| TRADE                                              | ENTRY LEVEL | ENTRY DATE | RATIONALE                                                                                                                                                                               | RISKS                                                                                                                                                                                                   |
| Buy 3m30y F/F+25 payer spread                      | 135c        | 7/20/2026  | Low ATM vol and rich payer skew provides attractive entry level.                                                                                                                        | The main risk is that long end yields fail to sell off over the next three months, for example if softer inflation data alleviate concerns over long term inflation.                                    |
| Buy 6m5y F-25 receiver                             | 60c         | 7/20/2026  | 6m5y implied vol trades with limited premium over realized vol, limited premium across expiry surface, and allows enough time for macro data to challenge market pricing of Fed cycle.  | The main risk is that incoming data remain resilient enough for the Fed to deliver one or more additional hikes over the next six months.                                                               |
| Buy 3m 5s30s ATM curve cap                         | 12c         | 7/20/2026  | A curve cap provides asymmetric exposure to multiple steepening scenarios. The structure benefits from both front end repricing on Fed easing and a potential breakout in the long end. | The main risk is a curve flattening over the next three months, for example if the Fed delivers additional hikes and signals a renewed hiking cycle.                                                    |
| Buy 2.36x 1m2y F+1bp payer, sell 1x 1m5y ATM payer | 0c          | 7/20/2026  | The bear flattener provides targeted exposure to a hawkish repricing driven by higher inflation expectations while limiting exposure to other rate scenarios.                           | The main risk is that the Fed delivers a hike at the July meeting while signaling a more hawkish policy path. In that scenario, the curve would likely bear steepen, causing the trade to underperform. |
| Buy 2y10y straddle                                 | 670c        | 6/10/2026  | 2y10y expected to be supported by structural flow from mortgage hedgers demand and reduced supply from callable issuance.                                                               | The risk is if vol drops significantly while rates remain anchored near strike level.                                                                                                                   |
| Buy 1y1y F/F+25/F+50 payer ladder                  | 0c          | 3/10/2026  | Recent selloff in rates and pick up in vol created an attractive window for 1y1y payer ladders. Breakeven level sits at levels that imply Fed hike over the next 2 years.               | The risk is if energy-driven inflation becomes sustainable and forces the Fed to hike rates as a response.                                                                                              |

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(as of June 30, 2026)

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| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1544              | 42%        | 453                              | 49%            | 29%                  | 757                                               | 44%                   |
| Equal-weight/Hold     | 1577              | 43%        | 390                              | 42%            | 25%                  | 769                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 1                                | 0%             | 33%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 544               | 15%        | 89                               | 10%            | 16%                  | 204                                               | 12%                   |
| Total                 | 3,668             |            | 933                              |                |                      | 1731                                              |                       |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.



## Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

## Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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